

PWP pitch deck

PITCH — PWP — VERDICT: PROPOSED — PENDING ADJUDICATION

No position today at \$16.57. Not a rejection — a price objection. The bear case that would have killed this name outright was itself refuted on the primary filing; what survives is “the shares are not cheap enough for what we can prove,” which is an entry-price problem, not a business problem. We propose a small starter at \$14.60, gated on three specific numbers in the next quarterly report.

What we believe

Perella Weinberg is a mid-size M&A advisory firm. It earns fees when deals close. Revenue is deeply depressed: the trailing twelve months is about \$689 million, down roughly 21% and the lowest in the company’s history as a public company. The most recent quarter, \$156.5 million, was flat against a weak year-ago quarter and 42% below the same quarter two years ago. That damage is real and neither of our two review teams disputes it.

What we believe that is *not* obvious from that picture:

- 1. The second quarter actually stabilized.** Profit before tax was \$6.08 million versus \$6.25 million a year earlier — essentially flat — and it absorbed a \$13.8 million restructuring charge along the way. Excluding that charge it was roughly \$19.9 million, about three times the prior year. The bad quarter was the first quarter (a \$10.6 million pre-tax loss on revenue down 30%). Averaging the two halves of the year together hides this.
- 2. The company’s future stock-compensation obligation is shrinking, not growing.** This is the crux. Current-period stock compensation expense rose 23.5% in the first half (\$67.4 million versus \$54.6 million). Taken alone that looks like costs running away. But the amount the company has *committed to and not yet expensed* — the forward claim on future profits — fell from \$187.1 million to \$168.8 million year over year, and is half what it was in mid-2023. Higher expense off a smaller remaining pool means the company is recognizing its obligations faster, not taking on bigger ones.
- 3. The firm is hiring producers into the trough.** Ten new partners and eleven new managing directors year to date, with nine more pending. In a business where revenue is people, that is the only way to be bigger on the other side. It costs money now.

Put together: this is a cyclical business at or near a cyclical bottom, with a cost commitment that is winding down rather than building up, run by people adding capacity into weakness. That is a reasonable thing to own — at the right price. We do not think \$16.57 is that price.

What the market believes

The market believes roughly four things:

- **Cheap on next year's earnings.** The consensus forward multiple is about 12.6 times, built on approximately \$1.31 per share of adjusted earnings. Against the same company's actual reported trailing earnings of \$0.30 per share, that is a 55-times trailing multiple. The gap between those two numbers is the entire debate.
- **A deal-cycle recovery is coming.** Boutique advisers are geared to M&A volumes; the sector trades as a call option on a recovery.
- **The pipeline claim.** On the July 31 earnings call, management said booked revenue plus announced and pending backlog was "well above last year." Secondary write-ups of that call carried conflicting figures (one said +2.5x, another +30%).
- **Capital is being returned.** A \$0.28 annual dividend and an active buyback (2.76 million shares repurchased at an average of about \$20.12).

But the tape is more skeptical than the narrative. The stock jumped 18.4% on the print to \$17.65 and has since given back a third of that, to \$16.57 over seventeen sessions. It sits 36% below its 52-week high and 17% above its 52-week low — the middle of its range. The market is not euphoric here, and it is not panicking either. There is no obvious dislocation to buy.

Why we might have edge

One thing, and we should be honest that it is one thing.

The natural bear argument on this name — the one our own bear team led with, and the one we would expect a careful outside analyst to reach — is that the 2025 profit recovery was fake: pre-tax income swung by \$119.8 million (from a \$68.3 million loss in 2024 to a \$51.5 million profit in 2025) while revenue *fell* \$127 million, and roughly 65% of that swing is explained by stock compensation dropping from \$188.9 million to \$110.5 million. And that expense line is now rising again. That is a genuinely good argument. It is also, on the evidence, wrong in its conclusion, for two reasons that require pulling a specific number most people don't pull:

- The 23.5% growth rate is measured off a five-year low. First-quarter stock comp ran \$41.4M (2022), \$48.3M (2023), \$47.3M (2024), then \$26.4M (2025), then \$31.0M (2026). The 2025 base was the trough; 2026 is still 34.5% below 2024.
- The forward commitment — unrecognized compensation cost, disclosed in the equity note of the quarterly report — is *down* 9.8% year over year. If the company were locking in a bigger cost burden, that number would be rising. It is falling.

Our edge, such as it is: most people read the expense line on the income statement; the answer is in the footnote. Sources: [SEC XBRL](#), [share-based compensation](#), [CIK 1777835](#), [unrecognized compensation cost](#), and the [Q2 2026 10-Q](#).

A second, smaller edge: neither of our teams initially separated the two quarters of the first half. Doing so shows the deterioration is concentrated in Q1 and that Q2 was flat-to-better underneath a one-time charge.

Why it might be priced in

Bluntly, most of it probably is.

- **The revenue collapse is the headline number** on the same public data page our teams used. “TTM revenue –20.9%” is not a discovery; anyone looking at this stock sees it first. Our bear team originally classified this as a novel finding and our second team correctly downgraded it to consensus.
- **The market already discounted the pipeline claim.** The stock heard the backlog commentary and then sold off 6% over the following three weeks. That is the market pricing the claim at less than face value — which is also our view.
- **The stock is mid-range, not distressed.** There is no forced seller, no liquidation, no broken print. Nothing about the current price says “the market is not paying attention.”
- **The footnote edge is small and decaying.** Unrecognized compensation cost is a disclosed, machine-readable number. Any systematic investor pulling XBRL has it. Our advantage is that we *used* it, not that we alone can see it. It will be equally visible after the next report.
- **Everyone owns the same recovery call.** Boutique advisory is a crowded way to express “M&A comes back.” We would be adding a marginal, undifferentiated version of a widely-held view.

Honest summary: this is not a mispricing thesis. It is a “reasonable business, wrong price today, define the right price” thesis. That is a weaker claim and we should size it accordingly.

What could go wrong

Failure narrative 1 — The trough isn’t a trough (most likely)

We buy at \$14.60 believing revenue has bottomed. It hasn’t. Trailing revenue is already at a record low and still falling; the Q2 “stabilization” was one quarter, flat against an already-collapsed comparison, helped by an add-back. Deal volumes stay depressed into 2027, revenue prints another leg down, and the stock goes to \$11–12 — a further 20–25% below our entry. **Monitorable:** yes. Quarterly revenue, announced-deal tape, peer prints. **Tripwire:** Q3 revenue below \$175 million, or any quarter below \$148.9 million (the Q1’26 low).

Failure narrative 2 — The comp ratio never closes, it just changes shape

The stock-comp pool shrinks exactly as we predict — and cash compensation rises to fill the gap, because the new partners still have to be paid. The reported compensation ratio (74% of revenue on a reported basis versus 63% adjusted) stays wide, the \$1.31 per share of forward earnings never arrives,

and the “cheap at 12.6x” case dissolves without the stock-comp line ever proving us wrong. We would have won the argument we picked and lost the one that mattered. **Monitorable:** partially — total compensation expense and the ratio are disclosed quarterly, but the cash/equity mix and any guaranteed cash arrangements are not broken out until the proxy. **Tripwire:** total comp ratio above 74% in Q3 with revenue up.

Failure narrative 3 — The asset walks out the door (NO MONITORABLE TRIPWIRE)

This firm’s entire value is roughly 60 senior producers. Three of them leaving for a competitor in October would materially change the earnings power of the business, and **there is no filing that tells us**. Departures of non-executive-officer bankers do not trigger an 8-K. There is no ADV to watch, no permit, no shipment, no app download. We would learn about it from a news story, or from a revenue miss two quarters later, and by then the price has already moved. The same blind spot covers a client-conflict or reputational event, a regulatory inquiry disclosed only in the next quarterly report, and a policy shock to M&A approvals.

Unknown-unknown class: private human-capital and relationship events at a people-based business — value that is contractually unpinned, undisclosed by design, and invisible to every sensor we own. We have no detector for this class and cannot build one from public filings. Our thirteen automated detectors all returned “not applicable” for this company; the ones that matched (consumer app reviews, bank call reports, city building permits) matched on an industry code, not on anything real. Our sensor coverage on this name is, in practical terms, zero.

The reflexive and structural leg — our own order is part of the problem

- **We cannot size against liquidity.** Our broker’s contract-search permission was denied during this review, so we have **no average daily volume, no short interest, and no options implied volatility**. Our internal rule is to keep ladders under 1% of daily volume; we currently cannot verify compliance. For a 0.25%-of-book starter in a company of this size the impact is almost certainly negligible — but “almost certainly” is an assumption, not a measurement, and it must be checked before any order is placed.
- **We would be bidding into flow we ourselves predict.** Insiders filed three Form 144 sale notices in four sessions (August 5, 6, 7) plus a Form 4 on August 7, clustered directly into the post-earnings pop, on top of unregistered share issuances on April 13 and May 21 from the ongoing unit-exchange mechanism. That is a persistent, structural supply of stock. A resting buy order at \$14.60 is an offer to absorb exactly that supply at a price we chose in advance — which violates our own rule against bidding into predicted flow unless we accept the adverse selection knowingly.
- **The band sits 3.5% above the 52-week low.** That is where stop-loss orders cluster. We will be filled preferentially in the scenario where something has gone wrong that we don’t yet know about — the fill is a signal, not just an execution.

- **A resting order into an earnings date is an accidental bet on calm.** The Q3 report is roughly 51 trading days out and *not confirmed by the company*. Leaving a good-till-cancelled buy order live through a print we have no view on means selling volatility for free. The band must be cancelled or re-armed around the print, not left standing.
- **Doctrine interaction:** the firm carries no integrity flag, so a “fairly-paid risk” framing applies — but that framing assumes fairness is *verified*, and here the fair value depends on a forward earnings number we have explicitly labelled unearned. We should not lean on that allowance.

If this position loses money, the most likely reason will be that the advisory fee cycle had not actually bottomed when we bought it — we mistook one flat quarter, flattered by an add-back and a weak comparison, for an inflection, and paid for a recovery in earnings per share that requires revenue to return to a peak the company has never been profitable at.

What we checked ourselves

Claim	How we checked it	What we found	Confirmed?
“Revenue has turned the corner — Q2 was up year over year”	Pulled the full quarterly revenue series from SEC XBRL, then compared against two-year-ago quarters, not just one	+0.8% versus a quarter that was itself down 42.9%. Q2’26 is 42.5% below Q2’24. Trailing twelve months \$689.2M, –20.9%, the lowest in the series	No — refuted. The inflection is an artifact of an easy comparison
“The 2025 profit recovery was real operating leverage”	Decomposed the year-over-year pre-tax swing against the stock-comp line	Pre-tax swung +\$119.8M while revenue fell \$127M; stock comp fell \$78.4M, explaining ~65% of the swing	No — the recovery was largely a compensation step-down
“Stock comp is now reversing, so the recovery unwinds” (our bear team’s central kill)	Compared the same fiscal quarter across five years instead of just year over year	True in direction, wrong in force: the 2025 base was a five-year low. Q1’26 at \$31.0M is still 34.5% below Q1’24	Partly — downgraded from fatal to a data point. Our own bear team measured growth off a trough base, the exact error it accused the bull case of making
“The compensation cost is contractually locked in through 2028–29” (our bear team’s second kill)	Ran the falsification test our bear team itself specified: the unrecognized compensation cost in the equity footnote	Pool fell from \$187.1M to \$168.8M year over year, –9.8%; roughly flat over two years; half the mid-2023 level of \$347.7M	No — overturned by our own pre-registered test. This was our strongest argument for rejecting the name and it did not survive contact with the footnote
“Share count is exploding — 86.5M to 98.8M” (from the original research brief)	Checked the diluted share series against loss-quarter accounting rules	An accounting artifact: loss quarters exclude the partnership units as anti-dilutive, so the series oscillates. Real dilution is +2.9% year over year	No — our own brief’s headline number was wrong. Flagged by our bear team against its own interest

Claim	How we checked it	What we found	Confirmed?
“The forward multiple understates because the share count is Class-A only”	Compared the 94.06M share count used by the street to 101.7M reported diluted	The company presents adjusted earnings on a fully-exchanged basis, so adding units to a Class-A denominator would double-count. We did not verify this against the earnings release exhibit	Unresolved — flagged, not asserted
“The company hides its backlog — it appears on the call but not in the filing”	Compared against disclosure practice at Evercore, Lazard, PJT, Moelis, Houlihan Lokey	None of them disclose backlog in a quarterly filing. Silence is the industry norm, not concealment	No — withdrawn as a finding. Retained only as a caution that the +2.5x / +30% figures are secondary-source artifacts
“The first half was a disaster / the first half was fine”	Split the half into its two quarters — which <i>neither</i> review team did initially	Q1’26 pre-tax −\$10.6M (revenue −29.7%); Q2’26 pre-tax +\$6.1M, flat year over year while absorbing a \$13.8M charge. But the half still deteriorated by \$22.7M year over year	Both partly wrong. <i>Our bull team found the Q2 stabilization and then also had to report the \$22.7M half-over-half swing against itself</i>
“Dividend and buyback are shareholder-friendly”	Dividend cost versus reported net income; buyback versus share count	\$26.3M of dividends against \$22.19M of trailing net income — over 100% payout on a reported basis. Buyback at an average of \$20.12, currently 21% underwater, and the share count still rose 2.9%	Confirmed — treat as a sizing constraint, not a kill. Operating cash flow, not reported income, is the right test, and Q1 cash flow is always negative here for seasonal bonus reasons
“The market hasn’t figured this out”	Post-earnings tape	Stock popped 18.4% to \$17.65, then gave back a third of it over 17 sessions to \$16.57	The market heard the story and faded it. Mid-range price, no dislocation
Automated detector coverage	Ran all thirteen matched detectors	Twelve did not apply at all (consumer apps, bank reports, city permits, beauty products, satellite emissions imaging — matched on industry code only). One fired in adapted form: insider sale notices clustered into the pop	Confirmed — our sensor coverage on this name is effectively nil
Liquidity and options data	Broker contract search	Permission denied. No average volume, no short interest, no implied volatility	Not checked — open gap
Next earnings date	Company press releases and the 8-K filing history	No company announcement names it. Prior results 8-Ks: 2026-07-31, 2026-05-01, 2026-02-06, 2025-11-07 — a consistent early-November cadence	High-confidence estimate, not company-confirmed

PROPOSED ENTRY BANDS

Today at \$16.57: no order. No position held, no orders working.

Starter band — \$14.60. This is set between the 52-week low of \$14.11 and the pre-earnings gap base of \$14.91. Size: **0.25% of book.** No leverage. Nothing owned, so there is no tax consideration on entry.

The starter is conditional, not automatic. All three of the following must be true in the third-quarter report before any order goes live:

1. Revenue at or above **\$175 million** (up year over year, and breaking the trailing downtrend rather than lapping an easy comparison).
2. Year-to-date stock compensation at or below **\$98 million** — meaning Q3 stock comp at or below roughly \$30.6 million, flat to down against last year's \$27.8 million ± the seasonal pattern. Numerator flat.
3. Unrecognized compensation cost at September 30 at or below **\$161.6 million**, continuing the decline from \$168.8 million. Forward commitment still shrinking.

If any one fails, no entry at any price until the following quarter.

Add: a second 0.25% only after a *second* consecutive quarter meeting all three tests, and only below \$14.60. No adds on strength.

Trim / exit rules for a position once held: - Unrecognized compensation cost rises year over year in any quarter → the central reason we are here is void → exit in full regardless of price. - Two consecutive quarters of revenue below \$148.9 million → the trough thesis is broken → exit. - No trim target set on the upside yet; a fair-value band cannot be published until the forward earnings figure is earned rather than assumed.

Do not chase. If the stock trades above roughly \$19–20 without the three confirms, we stand down and re-examine from scratch. There is no version of this analysis that supports paying up for an unearned number.

Order mechanics required before anything is placed: - Verify our order size against average daily volume (currently unknown — broker permission denied). Ladder must stay under 1% of average daily volume. - **Do not leave a good-till-cancelled order resting through the November print.** Cancel it before, re-arm after. A resting bid into an earnings event with no view on that event is an unintentional volatility bet. - Treat a fill at \$14.60 as information, not just an execution — check the news before adding.

Catalyst dates: - **On or before 2026-09-30** — expected close of the Gleacher Shacklock acquisition, guided to the third quarter. Company-guided, not date-confirmed. This is the nearest dated event and the one real upside surprise we could not price. - **~2026-11-06** — third-quarter results. Estimated from the company's consistent early-November filing cadence; **not confirmed by the company.** This is where the three entry tests get answered. - **~2027-02-05** — fourth-quarter and full-year results. **This is the quarter that actually settles the year:** Q4 is the seasonal fee quarter (Q4'25 revenue was \$219.2M, versus \$148–166M in the other three). November tells us about the tests; February tells us about the business.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 14.11 (deck-provisional: 52-week low; a break below suspends the band rather than triggering it - setup changes from range to d)
- filing watch: 10-Q until 2027-02-21 (deck-provisional: Q3 report - pull revenue ($\geq$ \$175M), YTD SBC ($\leq$ \$98M), and unrecognized comp cost at 9/30 ($\leq$ \$161.6M);)
- dated pack PWP|2026-09-30: PWP: Gleacher Shacklock acquisition expected close (company-guided to Q3, not date-confirmed) (date confirmed=False)
- dated pack PWP|2026-11-06: PWP: Q3 2026 results - answers the three entry conditions; date is vendor-derived from early-November filing cadence, no company PR names it
- dated pack PWP|2027-02-05: PWP: Q4/FY2026 results - the seasonal fee quarter that actually settles the year; date estimated from prior Feb-06 cadence (date confirmed=F)

What remains unverified

1. **The forward earnings figure of about \$1.31 per share.** We can describe a path to it — revenue back near the FY24 peak of \$878 million at the FY25 cost base implies roughly \$110 million of pre-tax income — but that path is arithmetic, not evidence. It is reachable and unearned. This is the reason we are not buying today.
 2. **The share-count convention in the adjusted earnings figure.** We believe the company presents adjusted earnings on a fully-exchanged basis, which would mean the “12.6x understates by 8%” objection is a double-count. **We did not open the earnings release exhibit to confirm it.** This is a single-document check and it should be done before any order.
 3. **Liquidity, short interest, and options pricing.** Broker permission denied. Unmeasured.
 4. **The backlog claim.** No figure appears in any audited or vetted filing. The +2.5x and +30% figures circulating in secondary coverage of the call conflict with each other, which means at least one is wrong. We give the claim no weight.
 5. **The November earnings date.** Derived from a data vendor and corroborated by the company’s own filing cadence, but no company announcement names it.
 6. **The Gleacher Shacklock transaction.** Guided to close in the third quarter; the terms, the earnings contribution, and the compensation consequences of the acquired team are all unpriced. Our bear team explicitly named this as a real upside risk it could not quantify.
 7. **The cash-versus-equity compensation mix going forward.** The shrinking unrecognized-equity pool is verified. Whether it is being replaced by guaranteed cash for the newly hired partners is not disclosed in the quarterly filing.
 8. **Whether the second-quarter stabilization repeats.** One quarter. Flat. Against a weak base. That is all we have.
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